

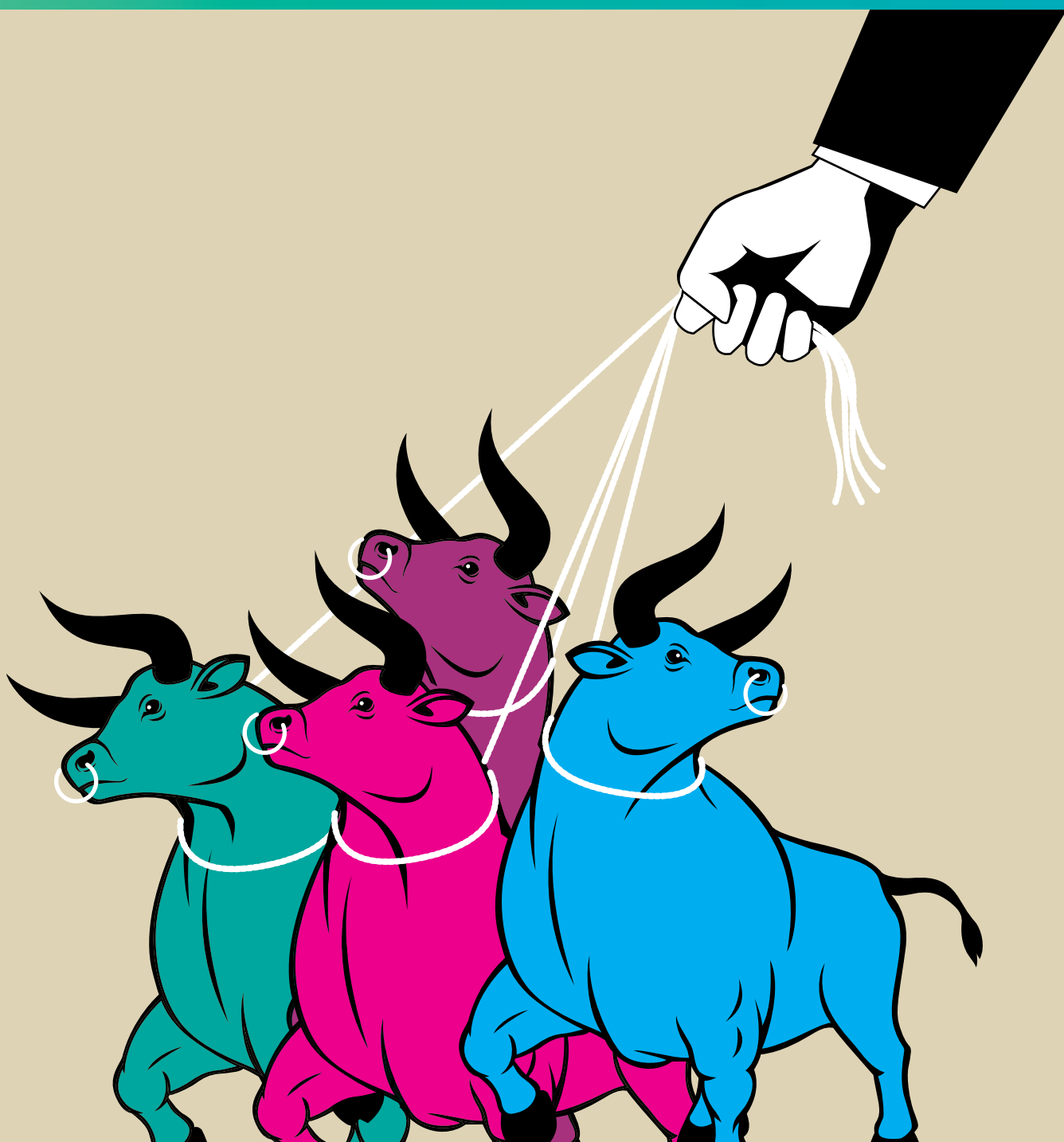


ILLUSTRATION BY **RAJ VERMA**

However, that wasn't always the case. For years, active funds looked good because they were benchmarked against price indices, which ignored dividends. That gave an illusion of outperformance. Once the capital markets regulator Securities and Exchange Board of India

(Sebi) mandated total return index (TRI) benchmarking in 2017, the picture changed. A TRI is a better measure of wealth creation since it captures both price appreciation and dividends earned from the underlying stocks.

And when you compare active

funds on that basis, very few consistently beat the benchmark. An August 2025 Value Research study of 26 active large-cap funds with over 10 years found that only nine outperformed the BSE 100 TRI, which delivered an average five-year annualised return of 15.5%.